

Significant ARR Beat; GPM Affected by One-offs

Management said ARR surpassed US\$800mn as of August, beating our US\$600mn expectation. We raise our year-end ARR forecast to US\$1.3bn from US\$1bn, and reiterate OW.

Key Takeaways

- Within the US\$800mn ARR, toB was 80% and toC was 20%.
- Token consumption grew 20x from January to July; customers increased 10x from 200k at end-2025 to 2mn now.
- M3.1, M3 Pro, and H3.1 are the key 2H26 pipeline models, with current compute capacity expected to support iteration.
- MiniMax is accumulating compute to train a 10T-parameter model for 2027.

ARR: M3 rollout driving faster monetization: ARR reached RMB800mn in August, supported by rapid adoption of the M3 text model, H3 video model, and improving commercialization execution. Key drivers: 1) stronger platform stability and higher TPS, enabling production-scale deployments; 2) expansion beyond coding and agent use cases into broader office productivity scenarios; 3) favorable competitive dynamics following industry pricing upward adjustments; and 4) incremental H3 contribution since August. Management remains confident that ARR will exceed RMB1bn by year-end, with further upside tied to M3.1, M3 Pro, and H3.1 launches.

Gross margin: launch-related headwinds should ease in 2H26: Management attributed 1H26 gross margin pressure primarily to temporary M3 launch factors rather than structural issues. The AI-native product generated positive gross margin without being a drag. Key negative impacts were seen from: 1) service stability investments and customer compensation during the transition; 2) initially low inference efficiency before post-launch optimization; 3) a higher mix of lower-margin token plans priced aggressively to accelerate adoption; and 4) a higher mix of low margin text model vs. high margin multimodal models. Looking ahead, management expects sequential margin improvement, driven by continued inference-cost reductions, better monetization discipline, and premium model launches such as M3 Pro, supporting both higher pricing and better unit economics.

Stock implications: Our PT is unchanged at HK\$900 as our wider near-term net loss estimates are offset by higher long-term revenue forecasts. Our DCF-based PT implies 25x P/S for 2027. The stock is trading at 10x 2026 P/ARR and 9x 2027 P/S based on MSe, which we view as undervalued.

MORGAN STANLEY ASIA LIMITED+

Gary Yu

Equity Analyst

Gary.Yu@morganstanley.com

+852 2848-6918

Lydia Lin

Equity Analyst

Lydia.Lin@morganstanley.com

+852 2239-1572

Yang Liu

Equity Analyst

Yang.Liu@morganstanley.com

+852 2239-1911

MiniMax (0100.HK, 100 HK)

Greater China IT Services and Software | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$900.00
Up/downside to price target (%)	197
Shr price, close (Aug 26, 2026)	HK\$303.00
52-Week Range	HK\$1,330.00-186.20
Sh out, dil, curr (mn)	349
Mkt cap, curr (mn)	US\$13,497
EV, curr (mn)	US\$12,951
Avg daily trading value (mn)	HK\$2,678

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	(17.23)	(2.50)	(2.28)	(1.78)
Prior EPS (US\$)**	-	(1.86)	(1.96)	(1.51)
EPS (US\$)§	-	(1.59)	(1.60)	(1.27)
Revenue, net (US\$ mn)	79	500	1,497	3,727
EBITDA (US\$ mn)	(319)	(788)	(848)	(619)
ModelWare net inc (US \$ mn)	(1,872)	(818)	(795)	(620)
P/E	NM	NM	NM	NM
P/BV	-	6.2	9.1	13.2
RNOA (%)	23.4	21.3	1,221.5	(348.3)
ROE (%)	NM	NM	(36.6)	(41.6)
EV/EBITDA	NM	NM	NM	NM
Div yld (%)	-	-	-	-
FCF yld ratio (%)**	-	(6.3)	(7.1)	(4.6)
Leverage (EOP) (%)	NM	(97.9)	(77.8)	(52.0)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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What's Changed

Estimate revisions

Incorporating 1H26 results, we raise our revenue forecasts by 25.3% for 2026, 25% for 2027, and 24.6% for 2028 to reflect higher ARR expectations. However, we lower our GPM forecasts given the miss in 1H26, and increase our R&D expense assumptions to reflect higher training costs for large parameter models and rising compute costs. Our non-IFRS operating loss estimates thus widen by 29.6%, 14.4% and 15.4% for the respective years. As a result, our loss per share forecasts widen by 34.6%, 16.2% and 18%.

Exhibit 1: Estimate revisions

Years Ending December 31 US\$ '000	New			Old			% change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total revenue	499,777	1,496,674	3,726,956	398,946	1,197,635	2,991,273	25.3%	25.0%	24.6%
Gross profit	120,078	485,143	1,356,436	113,907	431,631	1,194,701	5.4%	12.4%	13.5%
Operating profit/(loss) - MS denifition	(801,672)	(884,931)	(681,101)	(632,332)	(787,516)	(610,938)	26.8%	12.4%	11.5%
Operating profit/(loss) - MS denifition (Non-IFRS)	(716,637)	(773,907)	(525,669)	(553,029)	(676,493)	(455,505)	29.6%	14.4%	15.4%
Profit/(loss) before tax	(818,437)	(794,905)	(620,240)	(616,704)	(684,137)	(525,750)	32.7%	16.2%	18.0%
Net profit/(loss)	(818,437)	(794,905)	(620,240)	(616,704)	(684,137)	(525,750)	32.7%	16.2%	18.0%
Net profit/(loss) (Non-IFRS)	(702,376)	(683,882)	(464,807)	(537,402)	(573,114)	(370,318)	30.7%	19.3%	25.5%
EPS	(2.50)	(2.28)	(1.78)	(1.86)	(1.96)	(1.51)	34.6%	16.2%	18.0%
Price target	900.0			900.0			0.0%		

Source: Morgan Stanley Research (E) estimates

Valuation

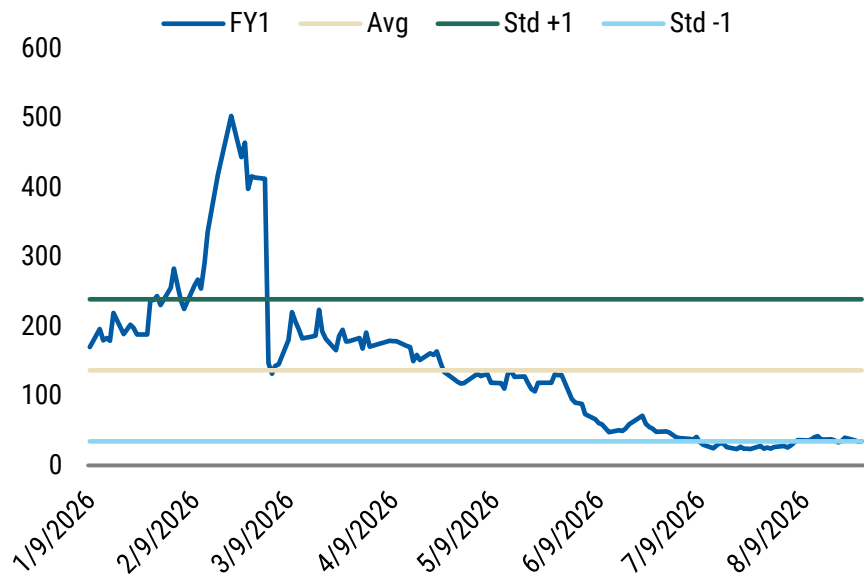
Our PT is unchanged at HK\$900 as our wider near-term net loss estimates are offset by higher long-term revenue forecasts. We use discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our PT implies 25x P/S for 2027, vs. its 137x historical average one-year forward P/S.

Exhibit 2: DCF valuation

Years Ending December 31 US\$ '000	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
DCF													
Operating profit (IFRS)	(101,298)	(286,620)	(321,401)	(801,672)	(884,931)	(681,101)	165,333	1,864,673	3,839,042	6,432,048	9,330,489	11,945,507	13,523,750
D&A	811	1,901	2,679	13,745	36,578	62,489	92,079	126,057	154,691	177,109	201,671	228,066	255,817
Capex paid	(697)	(759)	(1,188)	(94,039)	(108,145)	(124,366)	(143,021)	(164,474)	(187,501)	(211,876)	(237,301)	(263,404)	(289,744)
Lease payments	(757)	(1,506)	(2,222)	(4,314)	(5,815)	(7,102)	(8,369)	(9,722)	(11,171)	(12,714)	(14,337)	(16,024)	(17,749)
Taxes	-	-	-	-	-	-	-	-	(691,027)	(1,157,769)	(1,679,488)	(2,150,191)	(2,434,275)
Working capital	25,900	13,716	6,255	(13,260)	(209,034)	(92,641)	(673,910)	(508,628)	(895,776)	(897,440)	(1,106,493)	(787,870)	(572,376)
Unlevered FCF (FCFF)	(76,041)	(273,268)	(315,877)	(899,540)	(1,171,346)	(842,722)	(567,888)	1,307,905	2,208,257	4,329,358	6,494,541	8,956,084	10,465,423
% YoY	495.4%	259.4%	15.6%	184.8%	30.2%	-28.1%	-32.6%	-330.3%	68.8%	96.1%	50.0%	37.9%	16.9%
% of revenue	-2197.7%	-895.3%	-399.7%	-180.0%	-78.3%	-22.6%	-7.6%	10.4%	11.8%	16.5%	19.0%	21.8%	23.2%
WACC				15.0%									
TGR				3.0%									
Year				-	1.00	2.00	3.00	4.00	5.00	6.00	7.00	8.00	9.00
NPV of FCFF				10,032,442	12,708,655	15,457,675	18,344,214	19,787,941	20,547,876	19,300,699	15,701,263	9,100,368	-
Discounted terminal value				25,534,786	29,365,004	33,769,754	38,835,217	44,660,500	51,359,575	59,063,511	67,923,038	78,111,493	89,828,217
Enterprise value				35,567,228	42,073,658	49,227,429	57,179,432	64,448,441	71,907,451	78,364,210	83,624,301	87,211,862	89,828,217
Net cash/(debt)				2,129,408	1,159,333	533,190	209,726	1,812,970	4,418,506	9,282,067	16,503,150	26,430,135	38,164,995
Financial assets				-	-	-	-	-	-	-	-	-	-
Equity value				37,696,636	43,232,992	49,760,619	57,389,157	66,261,411	76,325,957	87,646,278	100,127,451	113,641,997	127,993,212
No of shares ('000)				349,235	349,235	349,235	349,235	349,235	349,235	349,235	349,235	349,235	349,235
FX rate (HK\$/US\$)				7.78	7.77	7.77	7.77	7.77	7.77	7.77	7.77	7.77	7.77
Value per share (HK\$)				839.78	961.87	1,107.10	1,276.83	1,474.22	1,698.15	1,950.01	2,227.70	2,528.38	2,847.67
Target NTM EV/S				23.76	11.29	6.59	4.57	3.43	2.73	2.29	2.04	1.93	16.00
Target NTM P/S				25.19	11.60	6.66	4.58	3.53	2.90	2.56	2.44	2.52	15.50
Price target (HK\$)				900.00									
Rev (2027e)													
Bull case	2,500,000	40	100,000,000										2,230
Bear case	1,000,000	10	10,000,000										220

Source: Company, Morgan Stanley Research (E) estimates

Exhibit 3: MiniMax FY1 P/S range



Source: Factset consensus

Financial Summary

Exhibit 4: Financial summary

Years Ending December 31 US\$ '000	2025	2026E	2027E	2028E
INCOME STATEMENT (IFRS)				
MiniMax Agent	1,062	7,165	29,855	134,346
Hailuo AI	24,945	60,187	153,155	350,643
MiniMax Audio	1,592	6,687	17,017	38,960
Talkie/Xingye	25,476	45,379	98,520	147,781
AI-native products	53,075	119,419	298,547	671,730
Open Platform and other AI-based enterprise services	25,963	380,358	1,198,128	3,055,225
Total revenue	79,038	499,777	1,496,674	3,726,956
AI-native products	3,463	5,971	29,855	134,346
Open Platform and other AI-based enterprise services	16,616	114,107	455,288	1,222,090
Gross profit	20,079	120,078	485,143	1,356,436
% GP margin	25.4%	24.0%	32.4%	36.4%
S&M expenses	51,896	51,896	72,654	101,716
R&D expenses	252,771	796,229	1,194,343	1,791,514
G&A expenses	36,813	73,626	103,076	144,307
Total operating expenses	341,480	921,751	1,370,074	2,037,538
Operating profit/(loss) - MS denifition	(321,401)	(801,672)	(884,931)	(681,101)
% OP margin	-406.6%	-160.4%	-59.1%	-18.3%
Non-operating items	(1,550,216)	(16,764)	90,025	60,862
Other income and gains, net	40,369	16,595	90,248	61,146
Finance costs	(672)	(1,230)	(223)	(284)
FV loss on financial liabilities	(1,589,850)	(31,025)	-	-
Impairment losses on financial assets, net	(63)	(1,104)	-	-
Profit/(loss) before tax	(1,871,617)	(818,437)	(794,905)	(620,240)
% PBT margin	-163.8%	-53.1%	-16.6%	2.8%
Income tax expense	-	-	-	-
% of PBT	0.0%	0.0%	0.0%	0.0%
Net profit/(loss)	(1,871,617)	(818,437)	(794,905)	(620,240)
% NP margin	-2368.0%	-163.8%	-53.1%	-16.6%
EPS	(17.23)	(2.50)	(2.28)	(1.78)
INCOME STATEMENT (NON-IFRS)				
Total revenue	79,038	499,777	1,496,674	3,726,956
Gross profit	20,079	120,078	485,143	1,356,436
Operating profit/(loss) - MS denifition	(290,490)	(716,637)	(773,907)	(525,669)
Adjusted EBITDA - MS denifition	(287,811)	(702,892)	(737,329)	(463,180)
Net profit/(loss)	(250,856)	(702,376)	(683,882)	(464,807)
EPS	(2.31)	(2.15)	(1.96)	(1.33)
% margin				
Gross profit	25.4%	24.0%	32.4%	36.4%
Operating profit/(loss) - MS denifition	-367.5%	-143.4%	-51.7%	-14.1%
Adjusted EBITDA - MS denifition	-364.1%	-140.6%	-49.3%	-12.4%
Net profit/(loss)	-317.4%	-140.5%	-45.7%	-12.5%

Years Ending December 31 US\$ '000	2025	2026E	2027E	2028E
BALANCE SHEET				
Cash and cash equivalents	507,621	2,962,741	1,992,667	1,366,523
Time deposits	13,787	-	-	-
Restricted cash	20,377	20,377	20,377	20,377
Financial assets (amortized cost)	-	-	-	-
Financial assets (FVPL)	438,525	-	-	-
Trade receivables	10,730	112,503	256,540	662,435
Prepayments, other receivables and other assets	16,319	169,317	259,531	498,078
Current assets	1,007,359	3,264,938	2,529,116	2,547,413
PP&E	1,571	85,105	161,333	229,146
Right-of-use assets	2,357	5,129	7,381	9,397
Restricted cash	41	41	41	41
Financial assets (FVPL)	69,965	-	-	-
Financial assets (FVOCI)	6,224	-	-	-
Prepayments, other receivables and other assets	887	110,437	169,278	324,870
Non-current assets	81,045	200,712	338,034	563,454
Total assets	1,088,404	3,465,650	2,867,149	3,110,867
Bank borrowings and convertible bonds	35,452	833,333	833,333	833,333
Trade and bill payables	57,677	343,865	425,495	1,051,018
Other payables, accruals and other liabilities	34,068	88,733	89,279	169,073
Contract liabilities	7,541	18,853	20,738	22,812
Lease liabilities	1,318	2,559	3,449	4,213
Convertible redeemable preferred shares	3,597,566	-	-	-
Current liabilities	3,733,622	1,287,343	1,372,294	2,080,449
Lease liabilities	638	1,239	1,670	2,039
Other non-current liabilities	2,334	2,334	2,334	2,334
Non-current liabilities	2,972	3,573	4,004	4,373
Total liabilities	3,736,594	1,290,916	1,376,297	2,084,822
Share capital	-	22	22	22
Share premium	-	5,562,036	5,562,036	5,562,036
Share option reserve	35,269	114,571	225,595	381,027
Other reserves	1,280	1,280	1,280	1,280
Accumulated losses	(2,684,739)	(3,503,176)	(4,298,081)	(4,918,321)
Total shareholder equities/deficits	(2,648,190)	2,174,734	1,490,852	1,026,045
Total liabilities and equities/deficits	1,088,404	3,465,650	2,867,149	3,110,867
CASH FLOW STATEMENT				
Operating cash flow	(279,641)	(705,290)	(856,115)	(494,675)
Investing cash flow	72,261	434,462	(108,145)	(124,366)
Financing cash flow	423,342	2,725,948	(5,815)	(7,102)
Other adjustments	2,747	-	-	-
Net changes in cash	218,709	2,455,120	(970,075)	(626,144)
Operating cash flow	(279,641)	(705,290)	(856,115)	(494,675)
Capex	(1,188)	(94,039)	(108,145)	(124,366)
Lease payments	(2,222)	(4,314)	(5,815)	(7,102)
Cash burn	(283,051)	(803,643)	(970,075)	(626,144)

Source: Company, Morgan Stanley Research (E) estimates

Risk Reward – MiniMax (0100.HK)

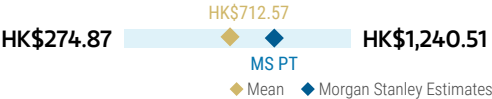
Global Omni-model Leader

PRICE TARGET HK\$900.00

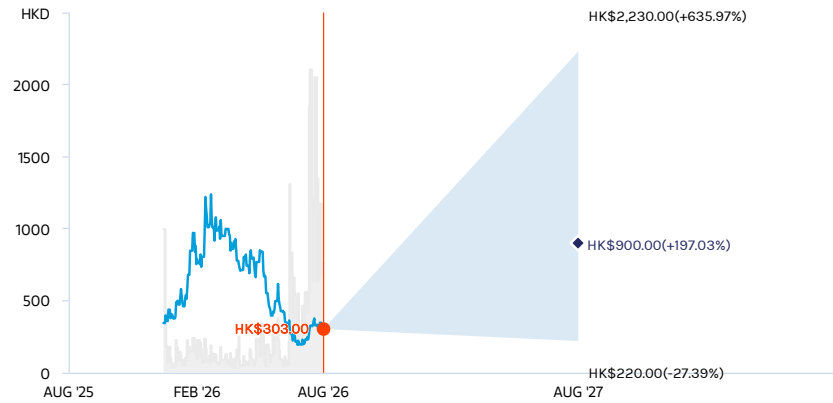
We apply discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our PT implies 25x P/S for 2027.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



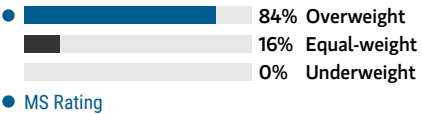
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see significant global opportunities for AI foundation models driven by model performance breakthroughs with non-linear market expansion potential.
- We like MiniMax's strong industry position based on advanced technology, full-modality capabilities, diverse AI applications and highly scalable business model.
- The stock currently trades at 9x 2027e P/S based on our estimate, and our DCF-derived PT implies 25x 2027e P/S. We see upside potential in valuation.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Disruption: Positive
- New Data Era: Positive
- Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$2,230.00

40x 2027 P/S

MiniMax's next-generation large parameter model, to be launched in October 2026, becomes the global SOTA model with superior performance vs. peers, leading to rising customer demand, expanding market share and potential price hikes. We project 2027 revenue of US\$2.5bn.

BASE CASE

HK\$900.00

25x 2027 P/S

MiniMax's next-generation large parameter model, to be launched in October 2026, matches the performance of global SOTA models, leading to non-linear revenue growth in 2027. We project 2027 revenue of US\$1.5bn.

BEAR CASE

HK\$220.00

10x 2027 P/S

MiniMax's next-generation model large parameter model to be launched in October 2026, fails to outperform peers in terms of performance, resulting in linear top-line revenue growth rather than step-change growth in 2027. We project 2027 revenue of US\$1bn.

Risk Reward – MiniMax (0100.HK)

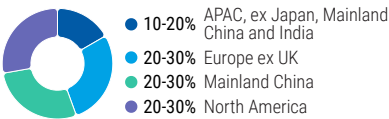
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total revenue % (%)	158.9	532.3	199.5	149.0

INVESTMENT DRIVERS

- Model performance iteration
- Enhanced application monetization
- Improving operating leverage

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Launching global SOTA model
- Eased market competition

RISKS TO DOWNSIDE

- Geopolitical risk
- Intensified competition and price war
- Model performance lagging peers

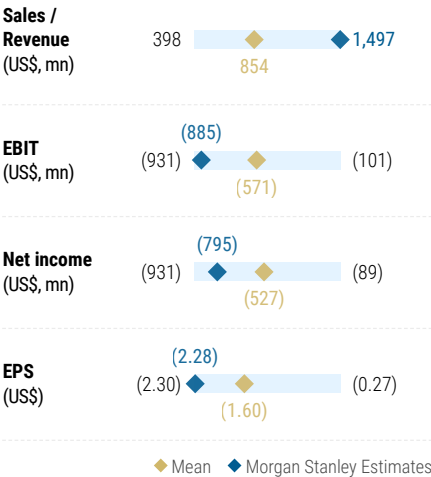
OWNERSHIP POSITIONING

Inst. Owners, % Active 95.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Stock Price, Price Target and Rating History (See Rating Definitions)

MiniMax (0100.HK) - As of 08/26/26 GMT in HKD
Industry : Greater China IT Services and Software



Stock Rating History: 8/1/21 : NA/I; 11/8/23 : NA/C; 11/28/25 : NA/I; 1/20/26 : NA/I; 2/20/26 : 0/I

Price Target History: 1/20/26 : NA; 2/20/26 : 930; 3/3/26 : 990; 4/28/26 : 1100; 8/10/26 : 900

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/26/2026)
Gary Yu		
MiniMax (0100.HK)	O (02/20/2026)	HK\$303.00
Z.AI CO., LTD. (2513.HK)	O (02/20/2026)	HK\$1,030.00
Lydia Lin		
Beisen Holding Limited (9669.HK)	O (06/23/2025)	HK\$3.06
Chinasoft International Ltd (0354.HK)	U (05/04/2026)	HK\$3.76
Glodon Co. Ltd. (002410.SZ)	E (08/23/2023)	Rmb8.79
Hundsun Technologies Inc. (600570.SS)	U (04/07/2025)	Rmb21.61
Meitu Inc (1357.HK)	O (10/01/2024)	HK\$4.35
Yang Liu		
Beijing Kingsoft Office Software Inc (688111.SS)	U (08/26/2024)	Rmb233.03
Kingdee International Software Group (0268.HK)	O (08/03/2026)	HK\$8.24
Kingsoft Cloud Holdings (KC.O)	O (07/07/2026)	US\$10.51
Kingsoft Corp Ltd (3888.HK)	E (07/21/2025)	HK\$24.46
Sangfor Technologies Inc (300454.SZ)	O (08/24/2026)	Rmb112.63
Tuya Inc. (TUYA.N)	O (11/29/2023)	US\$1.83
Wangsu Science & Technology (300017.SZ)	U (11/12/2024)	Rmb14.96
Yonyou Network Technology Co Ltd (600588.SS)	U (11/12/2024)	Rmb10.06

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